

KEY DEVELOPMENTS

1947	Japan begins to modernize its economy, expanding production and changing the way companies are run to make them more internationally competitive.
1959	Taiwan begins to attract foreign investment and moves its focus from agriculture to industry, starting the Taiwan Economic Miracle. Its economy grows swiftly.
1961	A period of rapid economic growth begins in South Korea as the country focuses on exporting goods.
1978	China's new leader, Deng Xiaoping, opens up the economy to foreign businesses and reduces government control of companies.
2013	China opens the world's longest high-speed rail route—nearly 1,430 miles (2,300 km) long—linking the capital city Beijing with the commercial center of Guangzhou.

Modern East Asia

At the end of World War II in 1945, large areas of East Asia were devastated and in need of rebuilding. Since then, the region has experienced an economic transformation, and in the 21st century countries such as Japan, China, and South Korea are among the most prosperous and productive in the world.

The post-war economic development of East Asia began in Japan, and then spread to Taiwan and South Korea. These countries lacked raw materials, but had low-cost, skilled labor available. As a result, they could manufacture goods and export them at low prices around the world. Consumer goods (such as household appliances), ships, cars, and computer technologies, were the main exports.

After the death of Chinese leader Mao Zedong in 1976, China also began to modernize. Today, it is one of the dominant economies of the world. In 2013, the Chinese government announced its new Belt and Road

initiative. Seen as a successor to the ancient Silk Road (see p.51), this project aims to build a trade network across Asia, Europe, and Africa by constructing new railroad lines, ports, airports, and roads in 71 countries.

By the late 20th century, South Korea, Taiwan, Singapore, and Hong Kong had also achieved rapid economic growth and came to be known as the Four Asian Tigers. The next generation of resource-rich nations—Malaysia, Thailand, the Philippines, Indonesia, and Vietnam—continued to develop and are now called the Tiger Cub Economies.

▼ JAPAN

After its defeat in World War II, Japan quickly revived its economy. By the mid-1950s, production was back to prewar levels and its economy grew on average by 10 percent a year. Fast trains called Shinkansen (below), ships, electronics, and other manufactured goods powered the economy forward.



SMALL AND PROFITABLE ▲

Several of Asia's smaller countries also experienced economic success after the 1950s. While Taiwan benefited from its electronics and information technology (IT) industries, Singapore specialized in finance and shipping (above). These were all valuable areas in the interconnected postwar world.